MEMORANDUM OF UNDERSTANDING & TERM SHEET

PROTOCOLE D'ACCORD & TERM SHEET

DecoLux BUSINESS ALLIANCE

Bel Décor × MEZZO GRP

Date: [À définir / To be defined] **Location / Lieu**: Tunisia / Tunisie **Status**: CONFIDENTIAL / CONFIDENTIEL

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1. PARTIES / LES PARTIES

Party A / Partie A:

- **Name**: Ridha [Nom de famille]
- **Trading as**: Bel Décor
- **Role**: Glass decoration production & expertise
- **Address**: [Adresse complète], Tunisia
- **ID / CIN**: [Numéro]

Party B / Partie B:

- **Name**: Anthony [Nom de famille]
- **Trading as**: MEZZO GRP
- **Role**: Commercial development, design & investment
- **Address**: [Adresse complète], Tunisia
- **ID / CIN**: [Numéro]

Collectively referred to as "the Partners" / Ci-après dénommés collectivement "les Associés"

2. PURPOSE / OBJET

The Partners hereby agree to establish a joint business venture under the name **"DecoLux"**, structured as a **Société à Responsabilité Limitée (SARL)** under Tunisian law, for the purpose of:

- Glass decoration and personalization services
- Production and sale of decorated glass products (personalized objects, cosmetics bottles, olive oil bottles, grande distribution packaging)
- Commercial development of glass decoration solutions in Tunisia and beyond

This Memorandum of Understanding sets forth the principal terms upon which the Partners intend to form, operate, and govern the DecoLux alliance.

3. COMPANY FORMATION / CONSTITUTION DE LA SOCIÉTÉ

ELEMENT	DETAIL
Company Name	DecoLux SARL
Legal Form	Société à Responsabilité Limitée (SARL)
Governing Law	Code des Sociétés Commerciales (Loi n° 2000-93)
Registered Office	[Address in Tunisia]
Business Activity	Glass decoration, personalization, packaging
Registration	Registre National des Entreprises (RNE)
Tax ID	To be obtained upon registration
Duration	Indefinite, subject to termination provisions

4. OWNERSHIP STRUCTURE / STRUCTURE DE PROPRIÉTÉ

Plan A — Equal Partnership (Preferred / Privilégié)

PARTNER	SHARES	PERCENTAGE
Ridha (Bel Décor)	[X] parts	**50%**
Anthony (MEZZO GRP)	[X] parts	**50%**

Plan B — Minority with Protections (Alternative)

If 50/50 is not agreed upon, the following structure applies:

PARTNER	SHARES	PERCENTAGE	PROTECTIONS
Ridha (Bel Décor)	[X] parts	[To negotiate]%	Veto rights on operational decisions, guaranteed salary, anti-dilution
Anthony (MEZZO GRP)	[X] parts	[To negotiate]%	Financial oversight, commercial decision authority

Protective Clauses (Both Plans)

- **Anti-dilution**: No new shares may be issued without written consent of both Partners
- **Pre-emption rights / Droit de préemption**: If either Partner wishes to sell their shares, the other Partner has first right of refusal at fair market value
- **Lock-up period**: Neither Partner may transfer shares for the first 24 months
- **Tag-along / Drag-along**: Standard minority protection provisions apply

5. CAPITAL CONTRIBUTIONS / APPORTS

5.1 Ridha — Bel Décor

CONTRIBUTION	TYPE	VALUE	MECHANISM
Glass decoration machines & equipment	Asset lease	~50,000 TND	Leased to DecoLux (not contributed as capital)
Technical expertise (15+ years)	Savoir-faire	Invaluable	Operational contribution
Existing client portfolio	Goodwill	[To be valued]	Transferred to company operations
Production management capability	Operational	N/A	Day-to-day contribution
Workforce training capability	Operational	N/A	Day-to-day contribution

5.2 Anthony — MEZZO GRP

CONTRIBUTION	TYPE	VALUE	MECHANISM
Premises (local + showroom)	Asset lease	[To be valued]	Leased to DecoLux (not contributed as capital)
Initial investment capital	Cash	~22,000 TND	Injected into company account
Premium design capabilities	Operational	N/A	Day-to-day contribution
Commercial network & relationships	Goodwill	[To be valued]	Business development
Business development expertise	Operational	N/A	Day-to-day contribution

5.3 Asset Lease Structure / Structure de Location

Critical provision: Machines and premises are **NOT** contributed to the company as capital (apports en nature). They are **leased** to DecoLux SARL via separate lease agreements. This ensures:

- Assets remain the personal property of their respective owners
- In case of dissolution, assets return to their original owners

- Company cannot pledge, encumber, or dispose of leased assets
- Lease payments contribute to each Partner's compte courant associé

5.4 Compte Courant Associé / Shareholder Loans

- Initial lease payments shall be recorded as **compte courant associé** (shareholder current accounts)
- Remuneration rate: [X]% per annum (to be agreed, market rate)
- Repayment: Upon company cash flow stabilization, per mutual agreement
- Priority: Compte courant reimbursement takes priority over profit distribution in Year 1

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6. ROLES & RESPONSIBILITIES / RÔLES ET RESPONSABILITÉS

6.1 Ridha — Directeur de Production / Production Director

Domain: All production and operational matters

RESPONSIBILITY	SCOPE
Manufacturing operations	All glass decoration production activities
Quality control	Product standards, defect management, QC processes
Production planning	Scheduling, capacity management, order fulfillment
Equipment management	Machine maintenance, optimization, upgrades
Workforce management	Hiring production staff, training, performance
Raw material sourcing	Supplier relationships, procurement, inventory
Technical innovation	New techniques, process improvements, R&D

6.2 Anthony — Directeur Commercial / Commercial Director

Domain: All commercial, sales, and market-facing matters

RESPONSIBILITY	SCOPE
Sales strategy	Pricing, targeting, channel development
Marketing & branding	DecoLux brand management, advertising, digital presence
Showroom management	Client presentations, product display, experience
Design direction	Premium design for products, packaging, branding
Business development	New partnerships, market expansion, opportunities
Client relationship management	Key account management, satisfaction, retention
Financial administration	Bookkeeping, reporting, tax compliance

6.3 Shared Responsibilities

Both Partners share responsibility for:

- Strategic planning and direction
- Major investment decisions
- Hiring decisions for management positions
- External communication on behalf of DecoLux
- Annual business plan development

7. GOVERNANCE / GOUVERNANCE

7.1 Co-Gérance / Co-Management

Both Partners shall serve as **co-gérants** (co-managers) of DecoLux SARL, each with authority within their defined domain.

7.2 Decision-Making Authority / Autorité Décisionnelle

DECISION TYPE	AUTHORITY	PROCESS
Day-to-day within own domain	Individual Director	Autonomous
Expenses < 5,000 TND	Either Director	Notify other Partner within 48h
Expenses > 5,000 TND	**Both Directors (unanimous)**	Written approval required
New employee hires	**Both Directors (unanimous)**	Joint interview and decision
New product lines	**Both Directors (unanimous)**	Business case presentation
Contracts > 10,000 TND	**Both Directors (unanimous)**	Legal review + joint signature
Capital expenditure	**Both Directors (unanimous)**	ROI analysis required
Changes to governance	**Both Directors (unanimous)**	Written amendment
Profit distribution	**Both Directors (unanimous)**	Annual general meeting

7.3 Meeting Schedule / Calendrier des Réunions

MEETING	FREQUENCY	PURPOSE
Operational sync	Weekly	Production/sales alignment
Steering committee	Monthly	KPI review, decisions, planning
Business review	Quarterly	Financial statements, strategy
Strategic assessment	Annually	Year-end review, goal setting
Extraordinary meeting	As needed	Urgent matters, deadlock resolution

7.4 Deadlock Resolution / Résolution des Blocages

In the event of a 50/50 deadlock on any decision requiring unanimous consent:

1. **Cooling period**: 7 days for informal resolution
2. **Structured dialogue**: Joint session facilitated by agreed-upon advisor (15 days)
3. **Mediation**: Formal mediation through Tunisian Chamber of Commerce (30 days)
4. **Arbitration**: Binding arbitration per Section 15 (if mediation fails)

8. FINANCIAL TERMS / CONDITIONS FINANCIÈRES

8.1 Management Compensation / Rémunération des Gérants

PARTNER	MONTHLY FEE	BASIS
Ridha	[X] TND/month	Production Director salary
Anthony	[X] TND/month	Commercial Director salary

- Management fees are payable from Month 1 as operating expenses
- Fees are reviewed annually by mutual agreement
- Fees continue even during loss periods (prioritized as operating expenses)

8.2 Profit Distribution / Répartition des Bénéfices

- Legal reserve: 5% of annual profits until reserve reaches 10% of capital (per Tunisian law)
- **Reinvestment**: [X]% of profits reinvested in Year 1-2 (to be agreed)
- **Distribution**: Remaining profits distributed proportionally to shareholding
- Distribution timing: Annually, after approval of financial statements
- **Exceptional distributions**: By unanimous consent only

8.3 Cost Structure / Structure des Coûts

Estimated monthly operating costs: **~12,000 TND**

COST ITEM	ESTIMATED MONTHLY
Rent (premises)	[X] TND
Rent (machines)	[X] TND
Raw materials	[X] TND
Labor (production staff)	[X] TND
Utilities	[X] TND
Marketing & sales	[X] TND
Administration & legal	[X] TND
Contingency	[X] TND
Total	**~12,000 TND**

9. ASSET PROTECTION / PROTECTION DES ACTIFS

9.1 Machine Lease Agreement / Contrat de Location des Machines

- **Owner**: Ridha (personal property)
- **Lessee**: DecoLux SARL
- **Value**: ~50,000 TND
- **Monthly lease**: [X] TND
- **Term**: [X] years, renewable by mutual agreement
- **Maintenance**: DecoLux SARL responsible for routine maintenance; major repairs shared
- **Insurance**: DecoLux SARL insures machines during operational use
- **Return condition**: Machines returned in good working condition (normal wear accepted)

9.2 Premises Lease Agreement / Contrat de Location du Local

- **Owner**: Anthony (personal property / lease)
- **Lessee**: DecoLux SARL

- **Monthly lease**: [X] TND
- **Term**: [X] years, renewable by mutual agreement
- **Modifications**: Any structural changes require owner consent
- **Return condition**: Premises returned in original state (normal wear accepted)

9.3 General Asset Protections

- DecoLux SARL **may not** pledge, mortgage, sub-lease, or encumber leased assets
- All leased assets revert to their respective owners upon dissolution or termination
- Company-purchased equipment becomes a company asset, distributed per shares upon dissolution
- Independent asset valuation required at formation and every 3 years thereafter

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10. INTELLECTUAL PROPERTY / PROPRIÉTÉ INTELLECTUELLE

10.1 Pre-existing IP / PI Préexistante

IP ASSET	OWNER	STATUS
"Bel Décor" brand and techniques	Ridha	Remains Ridha's property
MEZZO GRP brand and designs	Anthony	Remains Anthony's property
Ridha's glass decoration processes	Ridha	Licensed to DecoLux for operational use
Anthony's design portfolio	Anthony	Licensed to DecoLux for commercial use

10.2 Alliance-Created IP / PI Créée Pendant l'Alliance

IP ASSET	OWNERSHIP	NOTES
"DecoLux" brand, logo, trade name	**50/50 joint ownership**	Registered under DecoLux SARL
Client relationships developed	**Company asset**	Belong to DecoLux SARL
New production techniques	**Company asset**	With perpetual license to Ridha
New product designs	**Company asset**	With perpetual license to Anthony
Marketing materials	**Company asset**	Created during alliance

10.3 Post-Termination IP Rights

- Each Partner retains their pre-existing IP
- DecoLux brand: jointly owned, usage rights determined during exit process
- Client relationships: transition per exit strategy (Section 14)
- New techniques: Ridha retains perpetual, royalty-free license
- New designs: Anthony retains perpetual, royalty-free license

11. NON-COMPETE & NON-SOLICITATION / NON-CONCURRENCE ET NON-SOLLICITATION

11.1 During the Alliance

Neither Partner shall, directly or indirectly:

- Engage in glass decoration or personalization activities outside DecoLux
- Operate or invest in a competing business in Tunisia
- Divert DecoLux clients or opportunities to personal ventures

11.2 Post-Termination

- **Duration**: 2 years following effective termination date
- **Geographic scope**: Republic of Tunisia
- **Sector scope**: Glass decoration, personalization, and packaging

- **Employee non-solicitation**: Neither Partner shall recruit or solicit DecoLux employees for 2 years post-termination
- **Client non-solicitation**: Neither Partner shall actively solicit DecoLux clients for 18 months post-termination

11.3 Exceptions

- Pre-existing client relationships maintained outside DecoLux's scope
- Activities expressly approved in writing by the other Partner
- Passive investments (<5%) in publicly traded companies

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12. CONFIDENTIALITY / CONFIDENTIALITÉ

12.1 Scope

All information exchanged between the Partners and within DecoLux is confidential, including but not limited to:

- Financial data, projections, and business plans
- Client lists, pricing, and contract terms
- Production techniques, processes, and trade secrets
- Marketing strategies and competitive intelligence
- Terms of this Agreement

12.2 Duration

Confidentiality obligations survive termination by **3 years**.

12.3 Permitted Disclosures

- To professional advisors (lawyers, accountants) under equivalent confidentiality
- As required by law, regulation, or court order (with prior notice to other Partner)
- Information that becomes publicly available through no fault of the disclosing Partner

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13. PERFORMANCE MILESTONES / JALONS DE PERFORMANCE

MILESTONE	TARGET DATE	CRITERIA	CONSEQUENCE OF FAILURE
Production operational	Month 3	Equipment installed, first products delivered	Strategy review meeting
First 5 active clients	Month 3	5 clients with confirmed orders	Sales strategy revision
Break-even	Month 4-6	Revenue ≥ 12,000 TND/month	Financial review, cost optimization
Revenue: 15,000 TND/month	Month 6	Sustained for 2 consecutive months	Bonus trigger (if agreed)
20+ active clients	Month 9	Recurring orders from 20 clients	Market expansion review
Revenue: 25,000+ TND/month	Month 12	Sustained for 2 consecutive months	Profit distribution trigger
Profitability established	Year 2	Positive net income for full year	Expansion planning initiated

Review mechanism: If any milestone is missed by more than 60 days, either Partner may request a formal strategic review session.

14. EXIT STRATEGY / STRATÉGIE DE SORTIE

14.1 Voluntary Exit / Sortie Volontaire

- **Notice period**: 6 months written notice
- **Transition period**: Additional 3 months for operational handover
- **Buyout right**: Remaining Partner has **first right of refusal** to purchase departing Partner's shares

14.2 Valuation Method / Méthode d'Évaluation

Share value determined as the **average** of:

1. **Book value**: Net asset value per most recent audited financial statements

2. **Earnings multiple**: 3× average annual net profit of the preceding 2 years

Independent valuation by a mutually agreed expert if Partners cannot agree on price.

14.3 Forced Exit Triggers / Déclencheurs de Sortie Forcée

Either Partner may trigger forced buyout upon:

- **Material breach**: Not cured within 30 calendar days of written notice
- **Insolvency**: Filing for bankruptcy or inability to pay debts
- **Criminal conviction**: Conviction for fraud, embezzlement, or other crime affecting the business
- **Prolonged non-performance**: Failure to fulfill role obligations for 3+ consecutive months without valid reason
- **Breach of non-compete**: Engaging in competing activities

14.4 Asset Distribution / Répartition des Actifs

Upon dissolution or exit:

1. **Leased assets**: Return to their respective owners (machines to Ridha, premises to Anthony)
2. **Company debts**: Settled from company assets first
3. **Compte courant**: Reimbursed to each Partner per their balance
4. **Remaining company assets**: Distributed proportionally to shareholding
5. **DecoLux brand**: Usage rights negotiated or brand retired

14.5 Client Transition / Transition Clients

- 90-day transition period for client communications
- Joint communication to clients about transition
- Client choice respected — neither Partner may coerce client decisions
- All client data remains accessible to both Partners during transition

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15. DISPUTE RESOLUTION / RÉSOLUTION DES LITIGES

Step 1: Good Faith Negotiation / Négociation de Bonne Foi

- Duration: 30 calendar days
- Partners meet in person to resolve the dispute
- Both Partners must participate in good faith

Step 2: Mediation / Médiation

- Institution: Chambre de Commerce et d'Industrie de Tunis
- Duration: Maximum 60 calendar days
- Cost: Shared equally between Partners
- Language: French

Step 3: Arbitration / Arbitrage

- Institution: Centre d'Arbitrage et de Conciliation Industriels (CACI), Tunisia
- Rules: CACI arbitration rules
- Arbitrator(s): Single arbitrator mutually selected, or panel of 3 if parties cannot agree
- Language: French (with Arabic as official legal language per Tunisian law)
- Location: Tunis, Tunisia
- Decision: **Final and binding**
- Cost: Borne by the losing party, unless arbitrator decides otherwise

Governing Law / Droit Applicable

This Agreement shall be governed by and construed in accordance with the laws of the **Republic of Tunisia**, specifically:

- Code des Sociétés Commerciales (Loi n° 2000-93 du 3 novembre 2000)
- Code des Obligations et des Contrats
- Applicable commercial regulations

16. CONDITIONS PRECEDENT / CONDITIONS PRÉALABLES

The formation of DecoLux SARL is subject to the following conditions being satisfied:

- ☐ Completion of due diligence by both Partners
- ☐ Independent machine valuation by certified expert
- ☐ Premises inspection and execution of lease agreement
- ☐ Independent legal review by each Partner's counsel
- ☐ Agreement on share capital amount and allocation
- ☐ Agreement on management compensation (salaires des gérants)
- ☐ FIPA notification (if applicable for foreign investment)
- ☐ Obtention of all required business licenses and permits
- ☐ Tax registration and obtention of tax identification number
- ☐ Opening of company bank account
- ☐ Signature of definitive Articles of Association (Statuts)

Deadline: All conditions must be satisfied within **60 calendar days** of signing this MOU, or either Partner may withdraw without obligation.

17. TIMELINE / CALENDRIER

PHASE	TIMELINE	ACTIONS
MOU Signature	Day 0	Sign this document
Due Diligence	Day 1 – 30	Machine valuation, premises inspection, legal review
Negotiation of Final Terms	Day 15 – 45	Finalize statuts, lease agreements, financial terms
Company Registration	Day 30 – 60	File with RNE, obtain tax ID, open bank account
Operational Setup	Day 45 – 75	Install machines, prepare premises, hire initial staff
Production Start	Day 60 – 90	First production runs, quality testing
Commercial Launch	Day 75 – 90	Showroom opening, first client deliveries
First Quarterly Review	Month 3	Performance assessment against milestones

18. AMENDMENTS / MODIFICATIONS

- Any amendment to this MOU or the subsequent SARL statuts requires **written agreement** signed by both Partners
- **Annual review**: Both Partners shall review the terms of their arrangement at least once per calendar year
- No verbal or informal amendments shall be binding
- Amendments take effect upon signature by both Partners

19. GENERAL PROVISIONS / DISPOSITIONS GÉNÉRALES

19.1 Entire Agreement / Intégralité de l'Accord

This MOU, together with its annexes, constitutes the entire understanding between the Partners regarding the formation of DecoLux. It supersedes all prior negotiations, discussions, and agreements.

19.2 Severability / Divisibilité

If any provision of this Agreement is found invalid or unenforceable, the remaining provisions shall continue in full force and effect.

19.3 Waiver / Renonciation

Failure to enforce any provision shall not constitute a waiver of the right to enforce it subsequently.

19.4 Notices / Notifications

All formal notices shall be in writing, delivered by registered mail (lettre recommandée avec accusé de réception) or hand-delivered against receipt to the addresses specified in Section 1.

19.5 Assignment / Cession

Neither Partner may assign or transfer their rights or obligations under this Agreement without the prior written consent of the other Partner.

19.6 Language / Langue

This Agreement is drafted in English and French. In case of conflict between versions, the **French version** shall prevail (as the language of Tunisian commercial law).

19.7 Costs / Frais

Each Partner bears their own legal and advisory costs related to the negotiation and execution of this Agreement. Company formation costs are shared equally.

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20. SIGNATURES / SIGNATURES

This Memorandum of Understanding is executed in **two (2) original copies**, one for each Partner, on the date and at the place indicated below.

PARTY A / PARTIE A:

Name / Nom: Ridha _____ Trading as / Exerçant sous: Bel Décor Signature: _____ Date: _____ Place / Lieu: _____

PARTY B / PARTIE B:

Name / Nom: Anthony _____ Trading as / Exerçant sous: MEZZO GRP
Signature: _____ Date: _____ Place / Lieu: _____

WITNESSES / TÉMOINS:

Witness 1 / Témoin 1: Name: _____ Signature: _____ Date: _____

Witness 2 / Témoin 2: Name: _____ Signature: _____ Date: _____

ANNEXES / ANNEXES

The following documents shall be appended to this MOU upon completion:

- **Annex A**: Independent machine valuation report
- **Annex B**: Premises inspection report and lease agreement
- **Annex C**: Draft Articles of Association (Statuts de DecoLux SARL)
- **Annex D**: Detailed financial projections (5-year model)
- **Annex E**: Machine lease agreement
- **Annex F**: Each Partner's due diligence documentation

This document constitutes a Memorandum of Understanding and expresses the intent of the Partners. A definitive Shareholders' Agreement and Articles of Association (Statuts) shall be drafted by legal counsel and executed prior to the formation of DecoLux SARL.

Ce document constitue un Protocole d'Accord et exprime l'intention des Associés. Un Pacte d'Associés définitif et les Statuts seront rédigés par un conseil juridique et signés avant la constitution de DecoLux SARL.